NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II
CHENNAI

101

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF CHENNAI BENCH, CHENNAI NATIONAL COMPANY LAW TRIBUNAL, HELD ON 02-02-2022 AT 10:30 A.M THROUGH VIDEO CONFERENCING:

PRESENT: JUSTICE (RETD.) SMT. S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

APPLICATION NUMBER	**: MA(CA)/8(CHE)/2022 IN CP(CAA)/52/CHE/2021**
PETITION NUMBER	**: CP(CAA)/52/CHE/2021 IN CA(CAA)/18/CHE/2021**
NAME OF THE PETITIONER	**: Rupa Holdings Pvt Ltd**
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**: Sec 230-232 of CA, 2013** **Sec 231(1)(b) of CA, 2013**

NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II
CHENNAI

102

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF CHENNAI BENCH, CHENNAI NATIONAL COMPANY LAW TRIBUNAL, HELD ON 02-02-2022 AT 10:30 A.M THROUGH VIDEO CONFERENCING:

PRESENT: JUSTICE (RETD.) SMT. S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

APPLICATION NUMBER	**: MA(CA)/7(CHE)/2022 IN CP(CAA)/53/CHE/2021**
PETITION NUMBER	**: CP(CAA)/53/CHE/2021 IN CA(CAA)/16/CHE/2021**
NAME OF THE PETITIONER	**: Prince Holdings (Madras) Pvt Ltd**
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**: Sec 230-232 of CA, 2013** **Sec 231(1)(b) of CA, 2013**

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NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II
CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF CHENNAI BENCH, CHENNAI NATIONAL COMPANY LAW TRIBUNAL, HELD ON 02-02-2022 AT 10:30 A.M THROUGH VIDEO CONFERENCING:

PRESENT: JUSTICE (RETD.) SMT. S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

APPLICATION NUMBER	**: MA(CA)/4(CHE)/2022 IN CP(CAA)/54/CHE/2021**
PETITION NUMBER	**: CP(CAA)/54/CHE/2021 IN CA(CAA)/17/CHE/2021**
NAME OF THE PETITIONER	**: Anna Investments Pvt Ltd**
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**: Sec 230-232 of CA, 2013** **Sec 231(1)(b) of CA, 2013**

NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II
CHENNAI

104

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF CHENNAI BENCH, CHENNAI NATIONAL COMPANY LAW TRIBUNAL, HELD ON 02-02-2022 AT 10:30 A.M THROUGH VIDEO CONFERENCING:

PRESENT: JUSTICE (RETD.) SMT. S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

APPLICATION NUMBER	**: MA(CA)/5(CHE)/2022 IN CP(CAA)/55/CHE/2021**
PETITION NUMBER	**: CP(CAA)/55/CHE/2021 IN CA(CAA)/19/CHE/2021**
NAME OF THE PETITIONER	**: Thambi Investments Pvt Ltd.,**
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**: Sec 230-232 of CA, 2013** **Sec 231(1)(b) of CA, 2013**

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NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II
CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF CHENNAI BENCH, CHENNAI NATIONAL COMPANY LAW TRIBUNAL, HELD ON 02-02-2022 AT 10:30 A.M THROUGH VIDEO CONFERENCING:

PRESENT: JUSTICE (RETD.) SMT. S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

APPLICATION NUMBER	**: MA(CA)/6(CHE)/2022 IN CP(CAA)/56/CHE/2021**
PETITION NUMBER	**: CP(CAA)/56/CHE/2021 IN CA(CAA)/20/CHE/2021**
NAME OF THE PETITIONER	**: EWS Finance & Investments Pvt Ltd**
NAME OF THE RESPONDENTS	**:**
UNDER SECTION	**: Sec 230-232 of CA, 2013** **Sec 231(1)(b) of CA, 2013**

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[101] (b) MA(CA)/8(CHE)/2022 IN CP(CAA)/52/CHE/2021

[102] (b) MA(CA)/7(CHE)/2022 IN CP(CAA)/53/CHE/2021

[103] (b) MA(CA)/4(CHE)/2022 IN CP(CAA)/54/CHE/2021

[104] (b) MA(CA)/5(CHE)/2022 IN CP(CAA)/55/CHE/2021

[105] (b) MA(CA)/6(CHE)/2022 IN CP(CAA)/56/CHE/2021

COMMON ORDER

Ld. Counsel Mr. T.K. Bhaskar for the Applicant is present in all the items.

This application has been filed under section 231(1)(b) by the Applicant and seeking permission of this Tribunal with respect to the following prayer:

a) Modify Clause 11 of the Scheme of Amalgamation, to ensure proper working of the scheme by substituting Clause 11 as set out in the Schedule to this Application in place of the existing Clause 11 in the Scheme.

b) Pass any other such order as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the present case.

Accordingly, the prayer is allowed for substituting the Clause 11 as set out in schedule to this application in the place of existing Clause 11 in the scheme as reproduced below:

The extract of the ***"Existing Clause"*** of the application at Page No.4 to 9 is reproduced below:

11. CONSIDERATION

11.1 Upon the Scheme becoming fully effective, in consideration of the transfer and vesting of the Undertakings of the Transferor Companies in the Transferee Company in terms of the Scheme, the Transferee Company shall without any further applications, act, instrument or deed, issue and allot to the equity shareholders, optionally convertible redeemable

preference shareholders, non-cumulative redeemable preference shareholders of the Transferor Companies whose names are recorded in the register of members of the Transferor Companies, (the Members') on the Record Date and debenture holders whose names are recorded in the register of debenture holders of the Transferor Companies on the Record Date, equity shares, optionally convertible redeemable preference shares, and non-cumulative redeemable preference shares and debentures respectively and in the following manner:

a) 3335.48 equity shares of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity shares of Rs. [10]/- each fully paid up held in the First Transferor company;

b) 3335.48 number of 0.001% optionally convertible redeemable preference shares of Rs. 10/- each (Rupees Ten only) (having the terms and conditions as set out in Schedule II) each in the Transferee Company for every 1 (one), 0.001% optionally convertible redeemable preference shares of Rs.10/- each (Rupees Ten only) each held in the First Transferor Company;

c) 3335.48 (one) Transferee Company CCD for every Transferor Company No. 1 CCD held in the First Transferor Company.

d) 146.19 equity share of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity shares of Rs.10/- each fully paid up held in the Second Transferor company.

e) 146.19 numbers of 0.001% optionally convertible redeemable preference shares of Rs.10/- each (having the terms and conditions as set out in Schedule-II) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10/-each held in the Second Transferor Company;

f) 1 (one) 10% Non-Cumulative Redeemable Preference Shares of Rs.100/- each (Rupees Hundred only) (having the terms and conditions as set out in Schedule - III) each in the Transferee Company for every 1 (one) 10% Non-Cumulative Redeemable Preference Share of Rs.100 each (Rupees Hundred Only) each held in the Second Transferor Company.

g) 146.19 Transferee Company CCD for every 1 (one) Transferor Company No. 2 CCD held in the Second Transferor Company.

h) 1 (one) equity share of Rs.10/- each fully paid up in the Transferee Company for every 1749.89 equity shares of Rs.10/- each fully paid up, held in the Third Transferor company:

i) (one) 0.001% optionally convertible redeemable preference share of Rs.10/- each (having the terms and conditions as set out in Schedule - II) each in the Transferee Company for every 1749.89 0.001% optionally convertible redeemable preference shares of Rs.10/- each held in the Third Transferor Company;

j) 1 (one) 10% non-cumulative redeemable preference share of Rs.100/ each (having the terms and conditions as set out in Schedule - 111) each in the Transferee Company for every 1(One) 10% non cumulative redeemable preference shares of Rs. 100/- each held in the Third Transferor Company,

k) 1 (one) Transferee Company CCD for every 1749.89 Transferor Company No. 3 CCD held in the Third Transferor Company.

l) 376.60 equity shares of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity share of Rs.10/-each fully paid up held in the Fourth Transferor Company;

m) 376.60 0.001% optionally convertible redeemable preference share of Rs.10/- each (having the terms and conditions as set out in Schedule II) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10/- each, held in the Fourth Transferor Company;

n) 1 (One) 10% Non-Cumulative Redeemable Preference Share of Rs.100/- each (having the terms and conditions as set out in Schedule - III) each in the Transferee Company for every 1 (one) 10% Non Cumulative Redeemable Preference Shares of Rs.100/- each held in the Fourth Transferor Company.(Emphasis Supplied).

4.3 The Scheme was approved by the shareholders and creditors without noticing the inadvertent error. However, the effect of this error would be that:

a. For every 1749.89 OCRPS of the Applicant Company, 1 OCRPS of the Transferee Company would have to be issued to the OCRPS Holders of the Applicant Company. In other words, the OCRPS holders who presently hold securities valued at Rs.0.14 Crores in the books of the Applicant Company will receive OCRPS worth Rs. 0.000008 Crores in the Transferee Company; and

b. Similarly, For every 1749.89 CCD of the Applicant Company, I (one) CCD of the Transferee Company would have to be issued to the CCD Holders of the Applicant Company. In other words, the CCD Holders who hold securities presently valued at Rs. 147.09

Crores in the books of the Applicant Company will be issued CCD's worth Rs.0.084 Crores by the Transferee Company.

4.4 This error, having been noticed after the admission of the Company Petitions, the Applicant was constrained to apply to this Hon'ble Tribunal, to modify the Scheme in Clause 11 to following extent:

a. *3335.48 equity shares of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity shares of Rs.[10]/- each fully paid up held in the First Transferor company.*

b. *1 (one) number of 0.001% optionally convertible redeemable preference shares of Rs.10/- each (Rupees Ten only) (having the terms and conditions as set out in Schedule II) each in the Transferee Company for every 1 (one), 0.001% optionally convertible redeemable preference shares of Rs.10/- each (Rupees Ten only) each held in the First Transferor Company,*

c. *1 (one) Transferee Company CCD for every 1 (one) CCD held in the First Transferor Company.*

d. *146.19 equity share of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity shares of Rs.10/- each fully paid up held in the Second Transferor company:*

e. *1 (one) number of 0.001% optionally convertible redeemable preference shares of Rs.10% each (having the terms and conditions as set out in Schedule-Il) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10/-each held in the Second Transferor Company:*

f. *1 (one) 10% Non-Cumulative Redeemable Preference Shares of Rs.100/- each (Rupees Hundred only) (having the terms and conditions as set out in Schedule - III) each in the Transferee Company for every 1 (one) 10% Non-Cumulative Redeemable Preference Share of Rs.100% each (Rupees Hundred Only) each held in the Second Transferor Company.*

g. *1 (one) Transferee Company CCD for every 1 (one) CCD held in the Second Transferor Company.*

h. *1 (one) equity share of Rs.10/- each fully paid up in the Transferee Company for every 1749.89 equity shares of Rs.10/- each fully paid up, held in the Third Transferor company.*

i. *1 (one) 0.001% optionally convertible redeemable preference share of Rs.10/- each (having the terms and conditions as set out*

in Schedule - II) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10% each held in the Third Transferor Company;

j. *1 (one) 10% non-cumulative redeemable preference share of Rs.100/ each (having the terms and conditions as set out in Schedule - III) each in the Transferee Company for every 1(One) 10% non-cumulative redeemable preference shares of Rs.100% each held in the Third Transferor Company.*

k. *1 (one) Transferee Company CCD for every 1 (one) CCD held in the Third Transferor Company.*

l. *376.60 equity shares of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity share of Rs.10/- each fully paid up held in the Fourth Transferor Company:*

m. *1 (one) 0.001% optionally convertible redeemable preference share of Rs.10/- each (having the terms and conditions as set out in Schedule II) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10/- each held in the Fourth Transferor Company.*

n. *1 (One) 10% Non-Cumulative Redeemable Preference Share of Rs.100 each (having the terms and conditions as set out in Schedule III) each in the Transferee Company for every I (one) 10% Non Cumulative Redeemable Preference Shares of Rs.100/- each held in the Fourth Transferor Company.*

4.5 The beneficiaries of such issuance, the OCRPS Holders and CCD Holders of the Applicant Company have given their consent for the modification to the share exchange ratio as it was not their intent to benefit from the inadvertent error. No other person would be affected by the modification. The Scheme can be implemented only subject to the modification as otherwise, the Scheme will be unworkable. The purpose of the modification is to correct the inadvertent error in the Scheme and will not affect any other portion of the Scheme. The modification is to replace and substitute Clause 11 as mentioned in the Schedule to this Application in place of the existing Clause 11.

4.6 The Board of Directors of all the companies that are parties to the present Scheme, have also approved this modification as per Clause 17 of the Scheme.

4.7 It is therefore submitted that the Applicant is constrained to approach this Hon'ble Tribunal by way of the present Application.

The extract of the ***"Substituted Clause"*** of the application at Page No.10 to 12 is reproduced below:

SCHEDULE

MODIFIED CLAUSE 11 OF THE SCHEME OF AMALGAMATION

11. CONSIDERATION

111 Upon the Scheme becoming fully effective in consideration of the transfer and vesting of the Undertakings of the Transferor Companies in the Transferee Company in terms of the Scheme, the Transferee Company shall without any further applications, act, instrument or deed, issue and allot to the equity shareholders, optionally convertible redeemable preference shareholders, non cumulative redeemable preference shareholders of the Transferor Companies whose names are recorded in the register of members of the Transferor Companies, (the Members) on the Record Date and debenture holders whose names are recorded in the register of debenture holders of the Transferor Companies on the Record Date equity shares, optionally convertible redeemable preference shares, and non-cumulative redeemable preference shares and debentures respectively and in the following manner:

a. *3335.48 equity shares of Rs.10/- each fully paid up the Transferee Company for every 1 (one) equity shares of Rs.[10]/- each fully paid up held in the First Transferor company.*
b. *1 (one) number of 0.001% optionally convertible redeemable preference shares of Rs.10/- each (Rupees Ten only) (having the terms and conditions as set out in Schedule - II) each in the Transferee Company for every 1 (one), 0.001% optionally convertible redeemable preference shares of Rs.10/- each (Rupees Ten only) each held in the First Transferor Company;*
c. *1 (one) Transferee Company CCD for every 1 (one) CCD held in the First Transferor Company.*
d. *146.19 equity share of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity shares of Rs.10/- each fully paid up held in the Second Transferor company;*
e. *1 (one) number of 0.001% optionally convertible redeemable preference shares of Rs.10/- each(having the terms and conditions as set out in Schedule-Il) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10/- each held in the Second Transferor Company;*

f. 1 (one) 10% Non-Cumulative Redeemable Preference Shares of Rs.100/ each (Rupees Hundred only) (having the terms and conditions as set out in Schedule - III) each in the Transferee Company for every 1 (one) 10% Non-Cumulative Redeemable Preference Share of Rs.100 each (Rupees Hundred Only) each held in the Second Transferor Company.

g. 1 (one) Transferee Company CCD for every 1 (one) CCD held in the Second Transferor Company.

h. 1 (one) equity share of Rs.10/- each fully paid up in the Transferee Company for every 1749.89 equity shares of Rs.10/- each fully paid up, held in the Third Transferor company.

i. 1 (one) 0.001% optionally convertible redeemable preference share of Rs.10/ each (having the terms and conditions as set out in Schedule II) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10/- each held in the Third Transferor Company;

j. 1 (one) 10% non-cumulative redeemable preference share of Rs.100/ each (having the terms and conditions as set out in Schedule-III) each in the Transferee Company for every 1 (One) 10% non-cumulative redeemable preference shares of Rs.100/- each held in the Third Transferor Company.

k. 1 (one) Transferee Company CCD for every 1 (one) CCD held in the Third Transferor Company.

l. 376.60 equity shares of Rs.10/- each fully paid up in the Transferee Company for every 1 (one) equity share of Rs.10/- each fully paid up held in the Transferor Company;

m. 1 (one) 0.001% optionally convertible redeemable preference share of Rs.10/- each (having the terms and conditions as set out in Schedule-II) each in the Transferee Company for every 1 (one) 0.001% optionally convertible redeemable preference shares of Rs.10/- each, held in the Fourth Transferor Company:

n. 1 (One) 10 % Non-Cumulative Redeemable Preference Share of Rs.100% each (having the terms and conditions as set out in Schedule - III) each in the Transferee Company for every 1 (one) 10% Non-Cumulative Redeemable Preference Shares of Rs.100/- each held in the Fourth Transferor Company."

11.2 The fraction of share, if any, less than 1/2 of an equity share or preference share or compulsorily convertible debentures shall be ignored and fraction of equal to or more than 1/2 of an equity share or preference

share or compulsorily convertible debentures shall be treated as one equity share, preference share or compulsorily convertible debenture respectively for the purpose of allotment.

11.3 Upon equity shares being issued and allotted by the Transferee Company to the shareholders of the Transferor Companies, in accordance with Clause 11.1 above, the share certificates in relation to the shares held by the said shareholders in the Transferor Companies shall be deemed to have been cancelled and extinguished and be of no effect on and from such issue and allotment.

11.4 Upon the 0.001% optionally convertible redeemable preference shares and 10% non-cumulative redeemable preference shares issued by the Transferee Company to the preference shareholders of respective Transferor Companies in accordance with Clause 11.1 above, the share certificates in relation to the shares held by the said shareholders in the respective Transferor Companies shall be deemed to have been cancelled on and from such issue and allotment

11.5 Upon the Transferee Company CCDs being issued by the Transferee Company to the Transferor Company No.1 CCD holders, Transferor Company No. 2 CCD holders and Transferor Company No.3 CCD holders in accordance with Clause 11.1 above, the debenture certificates in relation to the debentures held by the said debenture holders in First Transferor Company, Second Transferor Company and Third Transferor Company respectively shall be deemed to have been cancelled on and from such issue and allotment.

11.6 The said equity shares to be issued and allotted by the Transferee Company shall be subject to Memorandum of Association & Articles of Association of the Transferee Company and shall rank paripassu in all respects from the date of allotment in terms of this scheme, with the existing equity shares of the Transferee Company, with all rights thereto, and shall be entitled to full dividend, if any, which may be declared by the Transferee Company after the effective date of the scheme.

11.7 In the event of there being any pending share transfer, whether lodged or outstanding, of any shareholder of the Transferor Companies, the Board of Directors or any committee thereof of the Transferee Company at its sole discretion shall be empowered in appropriate circumstances, even subsequent to the Record Date or the Effective Date, as the case may be to effectuate such a transfer in the Transferee Company as if such changes in the registered holders were operative on the Record Date, in order to remove any difficulties arising to the transfer of the share in the Transferee Company and in relation to any new shares, after the

Scheme becomes effective. The Board of Directors of the Transferee Company shall be empowered to remove such difficulties as may arise in the course of implementation of the Scheme and registration of new members in the Transferee Company on account of the difficulties if any in the transition period.

11.8 Approval of this Scheme by the shareholders of the Transferee Company shall be deemed to mean that the said shareholders have also accorded all relevant consents under Section 62 of the Companies Act, 2013 and the other relevant and applicable provisions of the Act for the issue and allotment of Equity shares by the Transferee Company to the equity shareholders of the Transferor Companies and 0.001% Optionally Convertible Redeemable Preference Shares of the Transferee Company to the preference shareholders of Transferor Companies and also the issue and allotment of 10% Non-Cumulative Redeemable Preference Shares of the Transferee Company to the preference shareholders of the Transferor Companies to the extent the same may be considered applicable.

This modification shall be allowed only on payment of Rs.5000/- in each case to ***"Prime Minister's National Relief Fund"*** **within one week from today** and to file the proof of the receipt of payment in the Registry before the next date of hearing.

The Applicant companies are directed to take notice to (a) Central Government through Office of RD Southern Region, Ministry of Corporate Affairs (b) Registrar of Companies (RoC, Chennai), (c) Official Liquidators and Income Tax Authorities having jurisdiction and any other Regulatory Authorities, if any, who may govern the working of the respective companies involved in the scheme at least 30 days before the next date of hearing.

A copy of the modified scheme shall be filed in the Registry before the next date of hearing.

The Registry is directed to follow the compliance of the order and place it on record.

Accordingly, MA(CA)/4(CHE)/ 2022, MA(CA)/5(CHE)/2022 , MA(CA)/6 (CHE)/ 2022, MA(CA)/7(CHE)/2022 and MA(CA)/8(CHE)/2022 **stand allowed.**

For compliance, list the above said five Applications on **09.03.2022**.

Also, list CP(CAA)/52/CHE/2021, CP(CAA)/53/CHE/2021, CP(CAA)/54/ CHE/2021, CP(CAA)/55/CHE/2021 and CP(CAA)/56/CHE/2021 on **09.03.2022** for hearing.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

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